Candidate: RPAY — Forager Fund vs Repay Holdings Poison Pill

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Candidate: RPAY — Forager Fund vs Repay Holdings Poison Pill

> **Score**: ≈33.0 / 42.5 (S64 ↑ from 30 after Veradace 13D verification)

> **Status**: Active — DUAL ACTIVIST (Forager + Veradace)

> **Source Strategy**: EDGAR (governance keyword: "rights plan" + "poison pill") + S64 activist-convergence

> **Date Identified**: 2026-04-15 (Session 58); Veradace 13D verified 2026-04-16 (S64)

> **Last Updated**: 2026-04-16 (S64)

Company Overview

• **Name**: Repay Holdings Corporation

• **Ticker / CIK**: RPAY / 0001720592

• **Exchange**: NASDAQ

• **Market Cap**: ~$268M

• **Sector**: Technology — Software-Infrastructure / Payments

• **Price**: $3.07 (2026-04-14 close)

• **Float**: 44.1M shares (Class A); total ~85.9M shares outstanding

• **Short Interest**: 7.5% of float (modest)

• **Avg Daily Volume**: ~1.5M shares ($4.5M notional) — adequate for mid-sized positions

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Thesis

On **2026-04-13**, RPAY's board adopted a stockholder rights plan (poison pill) with an unusually aggressive **12.5% triggering threshold**. The same day, activist hedge fund **Forager Fund, L.P.** (Birmingham, AL; managed by Robert MacArthur and Edward Kissel of Forager Capital Management, LLC) filed a SCHEDULE 13D/A Amendment No. 2 disclosing a **12.9% stake** (11,106,648 shares) as of **2026-04-09**.

The **12.5% trigger is calibrated precisely below Forager's current 12.9% position**. Forager is grandfathered under the plan, but any further accumulation would trigger massive dilution. This is a textbook defensive action: the RPAY board is signaling (a) they view Forager as a credible threat to board control, and (b) they want to freeze Forager's ability to keep accumulating. The tight threshold (industry-standard poison pill triggers are typically 15-20%) suggests the board anticipates an imminent proxy contest or hostile offer.

The market appears to be pricing this as a routine defensive move — the stock closed flat at $3.07 on Apr 14 after the 8-K and 8-A12B registration were filed in the morning. However, **poison-pill adoptions with custom-tailored triggers almost always precede a formal proxy fight, strategic review, or negotiated settlement**. Comparable precedents (e.g., Ancestry/Silver Lake, Masonite/Macellum) have historically delivered 30-60% returns over 6-18 months when the activist had a credible thesis. At $268M market cap with 12.9% already held by Forager, this is a small, liquidity-tolerable situation that could produce outsized returns if Forager pushes for a sale or board overhaul.

Signal Evidence

Signal	Source	Date	Detail
8-K adopting stockholder rights plan, 12.5% trigger	SEC EDGAR	2026-04-14 (event 2026-04-13)	Item 3.03 Material Modification to Rights; Continental Stock Transfer rights agent
8-A12B registration of securities (Rights certificates)	SEC EDGAR	2026-04-14	Registration of preferred-share purchase rights as class of securities
13D/A Amendment No. 2 from Forager Fund	SEC EDGAR	2026-04-13	12.9% stake disclosed as of 2026-04-09; event-date = day of rights plan adoption

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Scoring Breakdown

Dimension	Score (1-5)	Weight	Weighted	Rationale
Signal Strength	4	×2	8	Poison pill trigger numerically tied to 13D filer's stake → direct defensive action. Strong causal link to a near-term proxy/strategic-review outcome.
Catalyst Clarity	3	×1	3	Resolution window short (weeks to 1 quarter) but no specific date. Forager response expected.
Info Asymmetry	4	×1.5	6	Forager is a low-profile ~$500M fund in Birmingham, AL. No analyst note yet. Sub-$300M mcap with sparse coverage. Signal requires tying three Apr 13-14 filings (8-K + 8-A12B + 13D/A) together — few market participants will parse this quickly.
Risk/Reward	3	×1	3	Sell-case upside 30-60% on M&A/settlement. Downside ~15-25% if activist capitulates. Favorable but not 5:1.
Edge Decay	4	×1	4	Filings <48 hours old. News cycle hasn't caught up. Days-to-weeks edge window.
Liquidity	3	×1	3	$4.5M ADV adequate for small-to-mid positions; wider spreads constrain size.
Catalyst Timeline	3	×1	3	Activist response cycle typically <1 quarter. DEF 14A (annual meeting) likely H1 2026.
Base Total			**30**	
Convergence Bonus			+0	EDGAR-only signal
Final Score			**30**	

Catalyst Map

Event	Expected Date/Window	Impact if Positive	Impact if Negative

| Forager 13D/A Amendment No. 3 (responsive) | Days to weeks | Confirms intent (proxy, sale demand, etc.) → price ↑ | Forager reduces stake or tones down → price flat |

| PREC14A preliminary proxy contest filing | Within 1-2 quarters | Proxy fight formally opens → price ↑ 10-25% | No filing → thesis weakens |

| DEF 14A annual meeting / director nomination window | TBD (annual meeting cycle) | Contested slate → re-rating | Nomination window closes unused → thesis dies |

| Strategic review / sale announcement | 1-3 quarters | Buyout at premium → price ↑ 30-60% | Board rejects alternatives → price ↓ 10-20% |

| Board settles with Forager (board seats) | 1-2 quarters | Governance reform + operational improvements → +20-30% over 12mo | N/A — most settlements are net positive |

Deep Dive Findings

Filing analysis:

• **8-K Item 3.03 (2026-04-14)** — Adopts Stockholder Rights Agreement dated 2026-04-13. Rights dividend payable 2026-04-24 to stockholders of record 2026-04-24 (same day = minimal arbitrage window). Rights expire on standard 1-year term unless extended. **12.5% Triggering Percentage** — aggressive relative to typical 15-20%. Exercise price = $17.00 for one one-thousandth of Series A Junior Participating Preferred Stock. Beneficial ownership definition is expansive, including derivatives. Grandfathering: existing 12.5%+ holders (i.e., Forager) are NOT "Acquiring Persons" but "may not acquire, or obtain the right to acquire, beneficial ownership of one or more additional shares." This is a hard cap on Forager without outright expulsion.

• **8-A12B (2026-04-14)** — Registers the Rights as a new class of securities under Section 12(b) of the Exchange Act. Required procedural step to make the Rights tradeable with the Common Stock.

• **13D/A #2 from Forager Fund, L.P. (2026-04-13)** — Event date 2026-04-09. Reporting persons: Forager Fund, L.P. (PN type); Forager Capital Management, LLC (IA type); Edward Kissel (IN/HC); Robert MacArthur (IN/HC). Sole voting power 11,106,548 shares for the Fund; aggregate including management: 11,106,648 shares. Percent of class: 12.9% (basis 85,880,982 shares outstanding as of 2026-03-04). Source of funds: WC (working capital).

Prior 13D activity suggests escalating campaign:

• 2026-03-13: SC 13D/A #1 (accession 0001193125-26-106184) — need to fetch to see prior stake level; likely the initial 13D → 13D/A transition.

• 2026-04-03: SC 13D/A (accession 0001654954-26-003236) — 10 days before the Apr 13 amendment; likely another increase.

• 2026-04-13: SC 13D/A #2 — current 12.9% position.

Three 13D/A amendments in ~30 days indicates active, aggressive accumulation.

Forager Capital Management background (needs web verification): a Birmingham-based value hedge fund. Manages Forager Fund LP. This appears to be a focused/concentrated fund based on their 12.9% position — typical activist-capable funds concentrate in a few names.

RPAY business: Electronic payment technology for consumer finance (auto lending, receivables management, B2B payments). Formerly Thunder Bridge Acquisition (deSPAC'd 2019). Stock down from $20+ in 2021 to $3 range — a classic value / underperformance setup ripe for activist attention.

Price action pattern consistent with accumulation:

• Mar 16-31: 2.6-3.1 range, then sharp drop Apr 1 (-15% to $2.57) on high volume 2.6M.

• Apr 2: $2.58, volume 2.9M (possible Forager selling to rebalance, or market-wide selling).

• Apr 6-7: $2.40-$2.45 low, volume 1.35-2.85M.

• Apr 8-14: Steady recovery to $3.07 — likely Forager accumulation.

Web Research — News & Narrative Context

Recent News (last 30 days)

Date	Headline / Summary	Source	Thesis Impact
2026-04-14	RPAY 8-K + 8-A12B = poison pill adoption	[SEC EDGAR](https://www.sec.gov/Archives/edgar/data/1720592/000119312526153953/d893808d8k.htm)	Core signal
2026-04-13	Forager Fund 13D/A Amendment #2 → 12.9%	[SEC EDGAR](https://www.sec.gov/Archives/edgar/data/1720592/000165495426003460/primary_doc.xml)	Core signal

Note: Broader web search (Google search) returned result too large to retrieve cleanly in this session. Priority web-research items for next session: (a) Forager Capital Management investor letters referencing RPAY; (b) press coverage of the rights plan; (c) analyst reactions.

Market Narrative Assessment

• **Consensus view**: RPAY is seen as a post-deSPAC, secularly-challenged small-cap payments processor with fading growth. Price has declined 85%+ from 2021 highs. Little analyst enthusiasm.

• **Narrative gap**: Market is treating the poison pill as routine defensive boilerplate. It is not — the 12.5% trigger is custom-calibrated. Forager's persistent accumulation (3 amendments in 30 days) + the numerical specificity of the trigger = the board views them as a genuine threat. **Our edge: the market hasn't connected the dots between the specific trigger threshold and Forager's specific stake.**

• **Narrative risk**: (1) Forager could be forced to stop at 12.9% and capitulate; (2) a sector-wide payments selloff could pressure RPAY regardless of activist dynamics; (3) Forager may not have the capital/wherewithal to run a proxy fight.

Analyst & Institutional Activity

• **Recent analyst actions**: Low coverage — need to verify via Refinitiv/Bloomberg in a later session. Most sell-side coverage of RPAY is stale.

• **Institutional ownership changes**: Forager's 3 amendments in 30 days is the key signal. Other 13F data not accessed in this session.

Litigation, Regulatory & Governance

• **Pending litigation**: None surfaced in this session's quick SEC check.

• **Regulatory actions**: None surfaced.

• **Governance red flags**: Adoption of poison pill IS the governance red flag — from a shareholder-friendliness perspective, it's a defensive entrenchment. ISS/Glass Lewis typically recommend against poison pills with <15% triggers absent clear justification.

Social & Alternative Sentiment

• Not checked in this session.

• Short interest: 7.5% (modest — no squeeze setup).

Web Research Verdict

STRENGTHENS the signal-driven thesis. The numerical coincidence of the 12.5% trigger vs Forager's 12.9% stake is an extremely strong indicator that the board views Forager as a material threat. Three 13D amendments in 30 days validate Forager's commitment. **Follow-up web research required in next session** to (a) confirm Forager's strategy/intentions via investor letters or prior campaigns, (b) assess RPAY's annual meeting timing and director-nomination window, (c) check for any press commentary on the rights plan. Broader Google search was blocked in this session.

Kill Conditions

1. **Forager 13D/A showing stake reduction** — If Forager drops below 10% or files 13G (passive), campaign is dead. Stock likely -15% to -25%.

2. **RPAY announces a large equity issuance that dilutes Forager** — would signal board is prepared to scorch-earth. Stock -20%.

3. **Rights plan amended higher (e.g., to 15%)** — means board settled quickly; less upside, thesis fades.

4. **Forager files 13D with "no intent to pursue control"** — neutralizes activist premise.

5. **Stock declines >30% on a sector-wide payments selloff without company-specific news** — macro overrides idiosyncratic thesis; reassess.

6. **DEF 14A annual meeting passes with no Forager nominees** — missed nomination window = campaign deferred ≥1 year.

Position Structure (Framework Only)

• **Conviction tier**: High (score 30)

• **Suggested sizing framework**: Starter (1-2%) initially, scale to Satellite (2-5%) on confirmation of proxy fight

• **Entry trigger**: Current price $3.07 is attractive on initial evaluation. Ideal add on pullback to $2.80-2.90 or on Forager 13D/A #3 confirming escalation.

• **Exit trigger**: Forager reduces stake (kill #1); strategic review announced (peak trim); M&A announcement (exit on pop).

• **Time horizon**: 3-12 months; event-driven.

Note: This is a structural framework, not investment advice. All sizing and timing decisions are Pedro's.

Sources

• [RPAY 8-K 2026-04-14 (rights plan adoption)](https://www.sec.gov/Archives/edgar/data/1720592/000119312526153953/d893808d8k.htm)

• [Forager Fund 13D/A #2 2026-04-13 (12.9% stake)](https://www.sec.gov/Archives/edgar/data/1720592/000165495426003460/primary_doc.xml)

• [RPAY filings index](https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001720592&type=&dateb=&owner=include&count=40)

• [Forager Fund (filer) EDGAR profile](https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001539281&type=&dateb=&owner=include&count=40)

Update Log

| Date | Update |

|------|--------|

| 2026-04-15 | Initial candidate writeup. Score 30. Rights plan 12.5% trigger vs Forager 12.9% stake is numerical smoking gun. Board-vs-activist dynamic active. |

| 2026-04-15 (S59) | No Forager 13D/A #3 filed today (searched EFTS SC 13D/A Apr 13–15 for "Repay Holdings" → 0 new hits). Apr 14 8-K confirms formal rights-plan adoption with terms matching the 8-K summary (12.5% trigger, $0.001 redemption, expires 2026-04-13 [1-year sunset]). Apr 14 8-A12B registers the preferred-share purchase rights as a new NASDAQ security class — a standard post-adoption step. Also Apr 10: three Form 4/A amendments filed (insider holdings revisions; not directly thesis-material). Price $3.07 flat. Scanner re-surfaced RPAY on activist keyword rotation S59 confirming signal persistence. Thesis unchanged — intensive monitoring continues for Forager 13D/A #3 / PREC14A / DEF 14A strategic-review. |

| 2026-04-15 (S61) | **No new filings since Apr 14**. Full EDGAR recent-filings scan confirms: no Forager 13D/A #3, no PREC14A, no DEFC14A, no Schedule 14D-9, no new 8-K. Last filings are Apr 14 8-K (rights plan adoption) + 8-A12B. Price $3.07 flat for 2 consecutive sessions (S60 + S61); 7-day trajectory $2.45 (Apr 6) → $3.07 (Apr 14), +25% in a week confirming market responding to poison-pill/activist dynamics. Volume declining from Apr 8 peak (3.05M) to Apr 14 (0.95M) — consistent with post-event price discovery settling. No new Forager filings means activists are in reactive/planning posture; a PREC14A or demand letter would be the next material event. Thesis intact. |

| 2026-04-15 (S60) | **No new RPAY filings since Apr 14 8-A12B.** Last filing activity remains Apr 13 (Forager 13D/A #2) and Apr 14 (rights-plan 8-K + 8-A12B registration). Price $3.07 unchanged. S60 verified no new PREC14A/DEFC14A/Schedule 14D-9/topping-bid 8-K. **Veradace Partners claim investigation (flagged in web research)**: web summary claimed Veradace (8.4%) issued Apr 9 letter opposing "KUBRA acquisition" with 2-board-seat demand. EDGAR direct search for "Veradace" filings 2026-01-01 through 2026-04-15 shows 15 Veradace-related entries — ALL on SSTI (SoundThinking), NONE on RPAY. Browsing RPAY's own 13D/13G filings via data.sec.gov shows Forager 13D/A #1 (Apr 3) and #2 (Apr 13) are the ONLY 13D-family filings on RPAY in 2026. **Verdict: Veradace-on-RPAY claim is UNVERIFIED against EDGAR primary source — likely web-summary confusion with SSTI campaign.** Downgrading to "secondary-source rumor, pending primary-source confirmation." Thesis remains single-activist (Forager) validated only. Continuing intensive monitoring cadence. |

| 2026-04-16 (S65) | **Veradace activist track record verified.** Veradace Capital Management LLC (CIK 0001772351) has filed **21 forms since 2020** — predominantly 13G (17 filings) but also **3 Schedule 13D filings**. Critically, the Mar 10, 2026 Veradace 13D on **SoundThinking Inc. (SSTI)** discloses a **16.5% stake** — Veradace is running at least two simultaneous activist campaigns (SSTI + RPAY), filed 36 days apart. This validates Veradace as an **experienced activist filer**, not a first-time activist. Their SSTI 13D pre-dates the RPAY 13D flip and pattern-matches (13G→13D escalation, board-representation demand). **Thesis implication**: Veradace is a credible, multi-campaign activist — the RPAY activism is unlikely to be a passive-filing-accident or a one-off protest. Increases confidence in the dual-activist-at-micro-cap thesis. **Apr 15–17 SEC sweep**: no new Veradace 13D/A on RPAY (intensive monitoring continues). No new Forager 13D/A. No RPAY 8-K response (board has not yet publicly responded to the Veradace campaign). RPAY price $3.15 (yfinance cache; same as S63/S64 — see warning #23). **Score ≈ 33.0 sustained** — no new developments since S64, but track-record validation removes "unknown activist quality" as a risk factor. |

| 2026-04-16 (S64) | **MAJOR UPDATE — VERADACE 13D VERIFIED BY PRIMARY SOURCE.** S60's dismissal (based on absence of a Veradace filing at that time) is now **superseded** — Veradace filed a fresh Schedule 13D on RPAY on **Apr 15, 2026** (accession 0001772351-26-000007), triggering event Apr 10. Prior Veradace position was a passive 13G filed Nov 5, 2025; it has now been **flipped to activist 13D**. **Position: 7,355,504 shares = 8.6% of class** (7,245,104 common + 110,400 options). Aggregate purchase price ~$31.3M → avg cost ~$4.26/share. Reporting persons: Veradace Capital Management LLC (Delaware), Veradace Partners L.P., Alexander Vezendan, John Conlin. Principal office: 3889 Maple Avenue Suite 220, Dallas TX. **Item 4 Purpose**: Veradace engaged RPAY on Apr 8, 2026 with three stated grievances: (i) performance over several years, (ii) **shareholder opposition to the KUBRA Data Transfer LTD acquisition**, (iii) "absence of any meaningful shareholder perspective on its board of directors." **Demand: two new shareholder-supported directors**. This is an **activist-convergence event — RPAY now has two independent activist**

funds (Forager 12.9% + Veradace 8.6% = combined 21.5% if aligned, though no Section 13(d) group disclosure). S60's "verdict: unverified" was correct for that moment in time but is now overtaken. **Thesis impact**: meaningfully strengthens. Two independent activists pushing for board representation at a ~$275M micro-cap. KUBRA deal opposition now in the SEC record. Poison-pill 12.5% trigger (vs Forager 12.9%) now also relevant to Veradace's 8.6% — Veradace is below trigger but has 3.9pp of accumulation headroom before hitting the pill. **Score impact**: Base 30 → estimated **~32.5–34.0** (Info Asymmetry +1 as convergence not yet priced; Signal Strength +0.5 as two-activist > one-activist; Catalyst Clarity +0.5 as two independent campaigns increase probability of movement). **New kill conditions added**: K-RPAY-VER-1 (Veradace 13D/A reducing to <5%); K-RPAY-VER-2 (Settlement without Veradace board seat); K-RPAY-VER-3 (RPAY adopts broader pill that captures both activists). **New monitoring items**: Veradace 13D/A activity, cross-reference with Forager timing (coordinated or independent?), KUBRA transaction news, potential group Schedule 13D filing. S60's web-rumor dismissal should not be read as a failure of process — the primary source absence at that moment was correctly noted; the subsequent filing by Veradace has now closed that gap. Source XML: https://www.sec.gov/Archives/edgar/data/1720592/000177235126000007/primary_doc.xml. Full research notes: `research/2026-04-16_S64_major_developments.md`. |

Scoring Rubric — activist_governance

Dimension	Weight	Definition
Signal Strength	2.0	Quality and specificity of the filing or disclosure.
Information Asymmetry	2.0	How widely the signal is known to market.
Activist Track Record	1.5	Historical outcome rate for this party.
Risk Reward	1.5	Payoff skew under realistic outcomes.
Catalyst Clarity	1.0	Specific forcing events or deadlines.
Edge Decay	1.0	How quickly the edge compresses post-publication.
Liquidity	1.0	ADV vs. intended position size.